The US is India's largest trading partner and one of the few where India enjoys a trade surplus. Here's a sector-wise analysis of the potential impact of American reciprocal tariffs

PHARMACEUTICALS

PHARMA PRODUCTS

Includes generics and APIs (active pharma ingredients)

$8.7 BN (FY24)	$400 MN (FY24)
US tariff 0-6.4%	India tariff 10%

IMPACT

A 10% US tariff, matching India's levy on US pharma imports, could hurt Indian pharma. However, the US will remain reliant on India, where some drugs cost six times less to produce

MEDICAL DEVICES

$3.8 BN (FY24)	$1.3 BN (Nov. 2022 to Oct. 2023)
US tariff 0% or 2-2.5%	India tariff 0-7.5%

IMPACT

India may lower import tariffs, boosting US exports but impacting domestic manufacturers, who have sought a hike to 15%

TELECOMMUNICATIONS

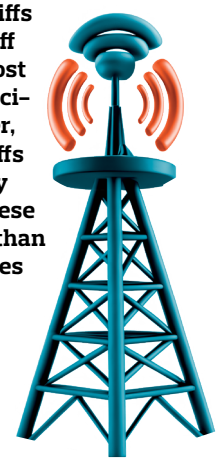
EQUIPMENT* & MOBILE PHONES



$17.3 BN (CY24)	$11 BN (FY24)
US tariff 0 - 37.5%	India tariff 10 - 20%

IMPACT

India is pushing for greater self-reliance by implementing incentives like Performance Linked Incentives (PLI) alongside tariffs and non-tariff barriers to boost domestic capacities. However, lowering tariffs would likely benefit Chinese players more than American ones



**Includes routers, PCBs and spares*

ETHANOL

FY25 (first 8 months)

Nil	359 MN litres
US tariff N.A.	India tariff* 5%

IMPACT

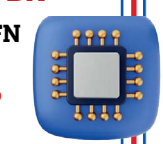
India does not export ethanol to the US, while the US supplies over 90% of India's ethanol imports. Removing the 5% import duty could reduce ethanol prices

**Basic customs duty*

ELECTRONICS*

FY24 (Jan. to Nov.)

$6.5 BN	$3.6 BN
US MFN tariff# 1.5%	India MFN tariff# 8.09%



IMPACT

The US accounts for 32% of India's electronic exports. Preferential access could boost India's high-end electronics manufacturing and help diversify capital goods imports

**includes electrical machinery and equipment*

Average; MFN: Most Favoured Nation

a beneficiary under the Generalised System of Preference (GSP) programme, denying it $6 billion (Rs 52,000 crore). But the Indian team was acutely aware that Planet Trump had no place for righteousness.

Modi decided that being proactive would be a better bet and got his team to push for an early meeting with Trump. The PM had interacted with Trump closely during his first term and the two had built up a rapport. Trump saw India as a country that was big enough to make a difference but not large enough to cause problems. He saw value in meeting Modi early, especially if he could strike a trade deal that would reduce the bilateral trade deficit of $46 billion (Rs 3.98 lakh crore) in India's favour.

The other priority for Trump was to get Modi to take back verified Indian illegal immigrants in the US without too much fuss. There are an estimated 725,000 of them, of whom 18,000 have exhausted all legal options and are ready for deportation.

INDIA POINTED OUT THAT RECIPROCAL TARIFFS NEED NOT REDUCE THE TRADE DEFICIT WITH THE US AND SOUGHT SPACE FOR A BILATERAL DEAL

In return, India got the US to agree to put in place "secure mobility frameworks" to facilitate appropriate visas for the over 300,000 students who contribute $8 billion (Rs 69,300 crore) annually to the US economy, apart from over half a million professionals who form the backbone of America's information technology industry. India also got the US to agree to jointly destroy the ecosystem that enables illegal immigration—including drug runners and terrorist backers, which brings into its ambit Khalistani separatist organisations operating in the US. It is a clear win for India there.

On the face of it, the overall optics looked good for Modi. It was rare for an Indian prime minister to meet a US president so soon after he was sworn in. Trump